



Chile's Acid Squeeze: Long Dec-26 / Short Mar-27 Copper

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INSTRUMENT	STRUCTURE	ENTRY	TARGET	STOP	PAYOFF
HGZ26 / HGH27	+1 / -1	10.05c/lb	8.00c/lb	10.75c/lb	\$513/pair

Investment Thesis - China's sulfuric-acid export withdrawal has turned Chile's structural import dependence into a near-term replacement problem. H1 2026 imports fell 23.34% YoY, while non-China origins added only 75.52 kt against 541.31 kt of lost Chinese supply - a 13.95% replacement ratio. We buy HGZ26 and sell HGH27 1:1, seeking a December convenience premium relative to March rather than an outright copper rally.

Physical Market Evidence

H1 2025 imports	2.00 Mt	H1 2026 imports	1.53 Mt (-23.34%)
Lost China supply	-541.31 kt	Net replacement	+75.52 kt / 13.95%
Jul-Aug average	287.00 kt/mo	Sep-Dec benchmark	364.03 kt/mo
Verified H1 non-China pace	219.78 kt/mo	Required increase to fall pace	65.63%

- Chile matters** - 28.9% of global copper exports are from Chile, amounting \$53.69bn; 53.1% of Chile's 2025 exports were copper
- Structural dependence** - COCHILCO's 2026 base case shows 4.71 Mt domestic acid production versus 7.59 Mt consumption, a -2.88 Mt annual balance. The gap establishes import dependence; it is not treated as flat monthly demand.
- Replacement accounting** - 75.52 kt incremental non-China supply / 541.31 kt lost Chinese H1 supply = 13.95% replacement.
- Fall hurdle** - $364.03 - 219.78 = 144.25$ kt/month of additional non-China flow; $144.25 / 219.79 = 65.63\%$ uplift.
- 2021 comparison** - H1 2021 imports fell 6.31% YoY vs. 23.34% in 2026; prior repair relied on Chinese marginal supply.

Carry, Storage & Hedge

- Current paired spread** - 16-Sep: HGZ26 \$6.5005/lb and HGH27 \$6.6010/lb; $100 \times (6.5005 - 6.6010) = -10.05\text{c/lb}$.
- Funding** - SR3Z26 = 95.77, so $100 - 95.77 = 4.23\%$. Financing carry = $6.5005 \times 4.23\% \times 91/360 \times 100 = 6.95\text{c/lb}$.
- Storage** - CME warehouse maxima (in Mobile, AL) are \$15.00-\$15.50/short ton/month. Three-month storage = $15.00 \times 3 / 2,000 \times 100 = 2.25\text{c/lb}$ to $15.50 \times 3 / 2,000 \times 100 = 2.33\text{c/lb}$. One 25,000-lb contract = 12.5 short tons, so this is \$562.50-\$581.25/contract. Gross simple carry = $6.95 + \text{storage} = 9.20\text{-}9.28\text{c/lb}$.
- Hedge check** - using 18 eligible adjacent AP daily changes, $h^* = \text{Cov}(d\text{HGZ26}, d\text{HGH27}) / \text{Var}(d\text{HGH27}) = 0.98$ Dec per Mar.

Target, Stop & Payoff

- 2021 anchor** - 25-Nov-2021 gross carry = 1.94-2.43c/lb; subtract the observed 0.70c/lb Mar-over-Dec contango to get a carry-normalized convenience residual of 1.24-1.73c/lb. We use the conservative lower bound, 1.24c/lb.
- Target** - $1.24 - 9.28 = -8.04$ and $1.24 - 9.20 = -7.96\text{c/lb}$; midpoint = -8.00c, which fits on a 0.05c HG price grid.
- Carry sensitivity** - because $S_{\text{target}} = Y_{\text{target}} - \text{carry}$, an extra 0.10c/lb of all-in carry moves the target exactly 0.10c/lb more negative. The 0.10c increment is an illustrative methodological sensitivity choice, not an observed cost estimate.
- Stop** - 18-change daily spread-change SD = 0.22c/lb. Choosing a 3-sigma risk multiple gives $3 \times 0.22 = 0.66\text{c}$; $-10.05 - 0.66 = -10.71\text{c}$. The next conservative point on a 0.05c HG price grid is -10.75c/lb. A 3-sigma multiplier is a methodological risk choice.
- Payoff** - one 1.00c/lb spread move on 25,000 lb = \$250/pair. Target move = +2.05c/lb: $2.05 \times \$250 = \512.50 , shown as about +\$513/pair. Stop move = -0.70c/lb: $0.70 \times \$250 = -\$175/\text{pair}$. Reward/risk = $512.50 / 175 = 2.93\text{x}$.

Catalysts & Expected Path

- September-November acid arrivals** - continued arrivals below historical fall pace reinforce lack of Chinese flow replacement.
- Demand backdrop** - ICSG's Apr-2026 forecast expects world refined copper usage to rise 1.6% in 2026, with +1.9% in China (Chile's main customer) and +1.3% elsewhere. AI power infrastructure is also an increasingly important metals-demand driver.
- Curve repricing** - persistent acid stress should appear as higher December convenience value relative to March; no copper rally.

Risks & Invalidation

- Fast normalization** - non-China suppliers rebuild the acid buffer before mine output is affected; unlikely due to large quantities.
- Demand shock** - the expert demand outlook is supportive, not a guarantee. A sharp macro contraction - especially in China - could overwhelm the Chile-specific scarcity effect.
- Other curve drivers** - financing, warehouse economics, location/warrant effects, and unrelated copper supply disruptions can move nearby/deferred spreads independently of Chilean acid fundamentals.
- Invalidation/execution** - reassess if replacement flows normalize, China relaxes the export halt, delivered acid prices normalize, SX-EW output stays resilient through the lag window, or demand deteriorates. Exit before December delivery.